

OpenAI vs Google: FIGHT!

By now, the cat is out of the bag, and Sam Altman's fears are out for us to examine and dissect. The Co-founder and CEO of OpenAI appeared jittery, as Altman's leaked internal memo declared Google's AI progress as a serious short-to-medium-term threat to OpenAI's lead in the GenAI race.

According to the memo, Altman thinks Google's AI assault threatens OpenAI's technical and economic outlook. He has warned staff to brace for "rough vibes" as OpenAI navigates a competitive landscape while trying to double down on longer-term superintelligence or AGI bets.

Altman acknowledged Google's Gemini 3 challenging ChatGPT-5.1's technical leadership. He praised Google's recent "excellent work," particularly in AI pre-training, and noted that OpenAI is "catching up fast." It's a rare admission that Google's Gemini 3 has reduced the capability gap and perhaps surpassed ChatGPT-5.1 in some areas.

Google's strength in pre-training isn't a surprise, given their proprietary TPUs and their vast ecosystem integration across search, Android, and the web. Add access to extensive training data, and it's clear why Altman struck a worrisome tone.

Altman also admits that trying to do "too many hard things" at once won't be easy. He wants OpenAI to be the best research lab, the best AI infrastructure company, and the best product company – difficult goals in an intensifying industry. Execution risk and organizational strain loom large, and Google's resurgence only increases the pressure.

In less than two years, Google has turned its AI story around. Early failures – the James Webb Telescope blunder, live demo crashes, and Gemini's controversial historical image generation in early 2024 – painted Google as sloppy in AI execution. But from those lows, Google has done little wrong through late 2025, especially with Nano Banana in Gemini, which sparked massive viral creativity.

OpenAI's ChatGPT has faced criticism over potential psychological and social effects, prompting demands for stronger oversight.



"What Altman can't hide is fear of Google's strategic might compared to OpenAI's still-lean structure."

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That contrast only amplified the sense that Google had stolen OpenAI's thunder.

With Gemini 3, Google has claimed superiority over ChatGPT-5.1 across several benchmarks. Independent tests show Gemini 3 offers sharper critical analysis, deeper explanations, and superior visual and spatial reasoning. ChatGPT-5.1 still leads in mathematical reasoning, coding logic, and natural conversational flow, but Gemini 3's multimodal strength and cognitive depth give Google a strong narrative advantage.

As of now, Gemini 3 excels in raw multimodal cognition, while ChatGPT-5.1 provides smoother, user-friendly long-form dialogue. For developers and early adopters, these shifts matter – and Altman's memo reflects concern that benchmark optics and developer sentiment could erode OpenAI's moat.

If Gemini is perceived as technically ahead, it becomes harder for OpenAI to justify ChatGPT's premium positioning with investors.

What Altman can't hide is fear of Google's strategic might compared to OpenAI's lean structure. OpenAI, valued at around \$500 billion with roughly \$13 billion in annual revenue, remains loss-making with a 2024 loss near \$5 billion and projected 2025 cash burn of around \$8 billion.

By contrast, Alphabet has a market cap near \$3.9 trillion, around \$350 billion in revenue, and over \$100 billion in annual profit.

Then there's DeepMind. If Altman has charisma, Demis Hassabis has decades of research gravitas. Hassabis and DeepMind have been pursuing advanced AI long before the current hype cycle, and their track record in foundational research is unmatched. DeepMind has quietly been building toward the same AGI goals OpenAI publicly champions.

Ultimately, beneath the memo is an existential fear: OpenAI might get beaten in the race for AGI or superintelligence. If Google – or someone else – reaches it first, OpenAI's mission, identity, and valuation could be upended. Much of the company's future depends on winning that race, or at least staying decisively competitive. **d**